entire amount by the due date, you won't pay any interest. But if you leave even just $1 unpaid, it will have a negative impact on your next bill. Interest charges won't be calculated on just your $1 balance; instead, they will be based on the *average daily balance* of the billing cycle. In this case, your balance would be $500 for 25 days of the billing cycle and $1 for the last five days, resulting in an average daily balance of $417.

- **Pay more than the monthly minimum, and resist skip-a-payment offers.** Ideally, you should pay your balance in full each month. If you can't, pay as much as possible. Even paying just $10 more a month can save you hundreds if not thousands of dollars in interest. Many banks calculate your monthly minimum as 1% of your outstanding balance plus all interest and fees every month. Others ask for a flat 3% to 5% of your balance. However they do the math, the longer it takes you to erase your balance, the more money you'll end up paying in interest. (See Figure 3–1 to calculate how long it will take to pay off your debt.) Also, resist the temptation to go for the skip-a-payment deals offered by some issuers. What they often don't make clear is that you'll still be charged interest on your outstanding balance for that month. (There's no interest-skipping involved.)

A NASTY CARD SURPRISE

Kathy and Michael went on a honeymoon to Hawaii and charged all their expenses on a credit card. A week after they got home, the $5,000 credit card bill arrived. They had enough money to pay the whole bill, but Michael decided to pay it over the course of two months so he wouldn't fall below the minimum balance he needed to get free checking at his bank. He wrote a check for $4,900 and mailed it out by the due date. When the next credit card bill came, Michael was shocked to discover that although he owed only $100 from the previous balance, he also owed $63 in interest. Because he didn't pay off his balance entirely, he was charged interest for the